

Complaint Velocity II: CFPB Consumer Complaints as a Quality Signal for Financial Stocks

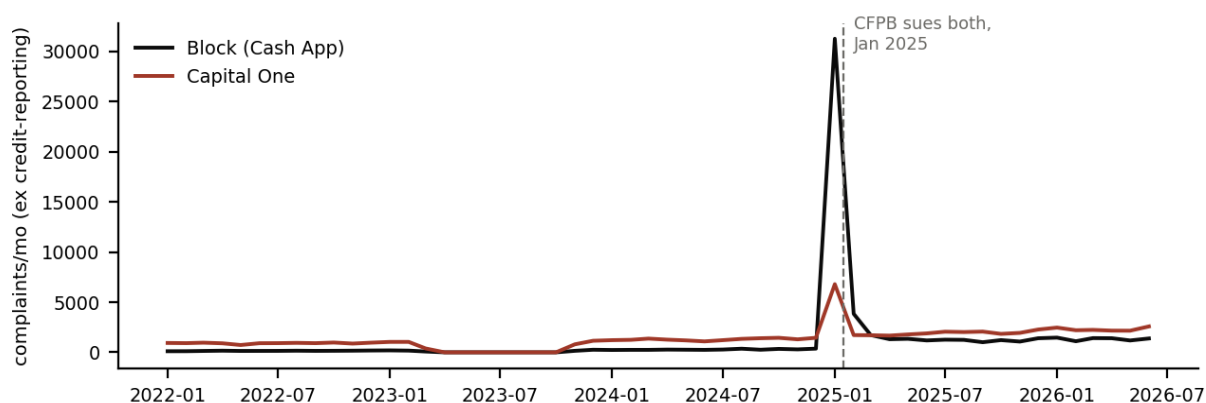
Alt-data research note · Michael Miele · July 18, 2026 · CFPB complaint database through June 2026 (17.0M complaints)

Data and signal construction

I aggregated the CFPB's full public complaint database — **17.0M complaints, 2011–June 2026** — to monthly counts per company and mapped 47 companies to listed tickers (banks, card issuers, servicers, collectors, fintechs). Credit-reporting-product complaints are segmented out of the signal: they tripled 2023–2026 across all three bureaus simultaneously on credit-repair-mill templates and measure filing industrialization, not issuer quality. The signal is each company's monthly non-credit-reporting complaint count z-scored against its own trailing 12 months (log scale, minimum flow filters). Intake is alive and growing post-2025 CFPB turmoil: the bureau logged a record 784K complaints in June 2026.

The signal finds real blowups

Every all-time top spike lines up with a documented event: **Block z=29.8 in Jan 2025** (CFPB Cash App lawsuit), **Capital One z=19.1** the same month (360 Savings suit), **Navient z=11.5 in Jan 2017** (CFPB suit), **Wells Fargo z=10.5 in Jan 2023** (the \$3.7B settlement window). Honest caveat: part of each spike is *reactive* — enforcement publicity drives filings — so the z-score is best read as a coincident stress-confirmation layer, with the leading content in slower complaint builds. January also carries seasonal intake; the return test below uses YoY growth, which absorbs it.



Pre-committed return test: an honest null

Cross-sectional tertile test, 131 months 2015–2026, ~40 names: rank by YoY growth of trailing-3-month complaints, hold the forward month at M+2 (complaints fully public by then). Result: **+0.07%/month top-minus-bottom, permutation p = 0.82** — no return predictability at this horizon, consistent with complaints being public, fast-priced information. The same honest-null structure as my H-1B study: the data measures something real (see spike table), but the naive monthly long-short does not pay.

Current watchlist and pre-registered check

2026-H1 spikes ($z \geq 2$, ex-January): **Affirm and Capital One in June 2026** ($z \approx 2.4$ – 2.5 , the COF print on record volume of 2,583/month), Rithm/Shellpoint in June, Rocket in Q1 ($z=5.6$ — flagged as a likely structural artifact of the Mr. Cooper servicing migration, not organic deterioration). **Check by January 2027:** do the AFRM/COF June builds escalate into regulatory action, credit losses, or guidance cuts — or revert to baseline? Logged here before the outcome is knowable.

Pipeline: github.com/michaelmiele07/alt-data-cfpb-complaints — fetch → aggregate → ticker map → z-score signal → permutation validation. CFPB data is public domain. Research, not investment advice. Companion to my NHTSA vehicle-quality note (same method, different regulator).